25901840 Scheme for Valuation
MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BVOC (HONOURS) Regular EXAMINATION April 2026
Second SEMESTER
Skill Development Components (SDC) - MG2SDCBFS102 – INDIAN SECURITIES MARKET (2025 ADMISSION ONWARDS)
Duration: 1 hours 30 minutes Maximum Marks: 50
Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.
Part A
VERY SHORT ANSWER
Answer any 10 questions. Each question carries 2 marks

1. **What is debenture in capital market? [U] / [CO1]**

A debenture is a long-term debt instrument issued by companies to raise capital from the public. It carries a fixed rate of interest and is repayable after a specified period. Debenture holders are creditors of the company and do not have ownership rights.

2. **Name two types of general insurance policies. [K] / [CO2]**

Fire insurance and marine insurance are two common types of general insurance policies. Fire insurance covers losses due to fire accidents, while marine insurance covers risks related to sea transport and cargo.

3. **What is the role of the National Stock Exchange of India in the Indian stock market? [K] / [CO3]**

National Stock Exchange of India provides a transparent and efficient platform for trading securities in India. It facilitates buying and selling of shares through electronic trading systems. The exchange also helps in price discovery and investor protection.

4. **In which year was LIC established? [K] / [CO2]**

Life Insurance Corporation of India was established in the year 1956. It was formed after the nationalization of the life insurance business in India.

5. **How does ICICI help small and medium enterprises through its investment pattern? [U] / [CO2]**

ICICI Bank supports small and medium enterprises by providing loans, working capital finance, and investment assistance. It also offers advisory and digital banking services to improve business growth. These financial services help SMEs expand operations and improve productivity.

6. **Why do companies pay dividends to shareholders? [U] / [CO3]**

Companies pay dividends to distribute a portion of profits to shareholders as a return on their investment. Dividends increase investor confidence and attract more investments. They also reflect the financial strength and profitability of the company.

7. **How does IFCI support industrial development? [U] / [CO2]**

Industrial Finance Corporation of India supports industrial development by providing long-term financial assistance to industries and infrastructure projects. It offers loans, underwriting, and project financing services. IFCI also promotes entrepreneurship and industrial growth in India.

8. **Who regulates credit rating agencies in India? [U] / [CO2]**

Securities and Exchange Board of India regulates credit rating agencies in India. SEBI ensures that rating agencies operate transparently and follow proper guidelines and standards.

9. Why must investors register before filing a complaint on SCORES? [K] / [CO4]

Investors must register on SCORES to authenticate their identity and track complaints effectively. Registration helps SEBI maintain proper records and communication with investors. It also ensures transparency and efficient grievance redressal.

10. Why do investors study a company's financial statements? [K] / [CO3]

Investors study financial statements to evaluate the profitability, liquidity, and financial stability of a company. These statements help them make informed investment decisions. Financial analysis also assists in assessing the future growth potential of the company.

11. Explain the main objectives of SEBI in regulating the capital market. [U] / [CO1]

The main objective of Securities and Exchange Board of India is to protect the interests of investors in the capital market. SEBI regulates stock exchanges and market intermediaries to ensure fair and transparent trading practices. It also promotes the orderly development of the securities market.

12. What is credit rating in finance? [U] / [CO2]

Credit rating is the assessment of the creditworthiness and repayment capacity of a borrower or financial instrument. It indicates the level of risk associated with lending or investing. Higher credit ratings reflect lower default risk and greater financial stability.

Part B

SHORT ANSWER

Answer any 6 questions. Each question carries 5 marks

13. What is the risk level in intraday trading compared to swing trading? [U] / [CO3]

Intraday trading involves buying and selling securities within the same trading day and carries a high level of risk. Price fluctuations in a short period can lead to quick gains or heavy losses. Swing trading involves holding securities for several days or weeks to benefit from medium-term price movements. Compared to swing trading, intraday trading is more risky due to market volatility and rapid decision-making. Therefore, intraday traders require greater market knowledge and risk management skills.

14. How does a Ponzi scheme use money from new investors to pay old investors? [U] / [CO4]

A Ponzi scheme is a fraudulent investment scheme where returns to earlier investors are paid using funds collected from new investors. The scheme does not generate genuine profits through business or investment activities. It creates a false impression of high returns to attract more participants. As long as new investors continue to join, payments can be maintained temporarily. However, the scheme eventually collapses when new investments decline.

15. What does a fall in the Sensex indicate? [U] / [CO3]

A fall in the BSE Sensex indicates a decline in the prices of major listed companies on the stock market. It reflects negative investor sentiment and reduced market confidence. A declining Sensex may result from economic uncertainty, poor corporate performance, or global financial issues. It can also indicate lower demand for shares in the market. Thus, the fall of the Sensex generally signals weakness in the stock market.

16. What is the difference between Open-ended and Closed-ended Mutual Funds? [K] / [CO1]

Open-ended mutual funds allow investors to buy and sell units at any time from the fund itself. These funds do not have a fixed maturity period and provide high liquidity. Closed-ended mutual funds have a fixed maturity period and a limited number of units issued at the time of launch. Investors generally buy or sell units of closed-ended funds through stock exchanges. Therefore, open-ended funds are more flexible compared to closed-ended funds.

17. What types of financial instruments does Unit Trust of India invest in? [K] / [CO2]

Unit Trust of India invests in various financial instruments such as equity shares, debentures, bonds, and money market instruments. It also invests in government securities and corporate debt instruments. These investments help generate returns for unit holders while maintaining portfolio diversification. UTI selects instruments based on risk and return considerations. Its investments contribute to capital market development and investor wealth creation.

18. What types of financial assistance does IDBI provide? [U] / [CO2]

Industrial Development Bank of India provides long-term and short-term financial assistance to industries and businesses. It offers project finance, working capital assistance, underwriting, and refinancing services. IDBI also supports infrastructure development and industrial modernization projects. The institution provides technical and advisory support to entrepreneurs and industries. These services help promote industrial growth and economic development.

19. How can grievance redressal systems increase confidence in the market? [K] / [CO4]

Grievance redressal systems help investors resolve complaints related to fraud, unfair practices, or service deficiencies. Effective complaint handling increases transparency and accountability in financial markets. Investors feel more secure when they know their concerns will be addressed properly. Such systems also improve the reputation and credibility of market institutions. Therefore, grievance redressal mechanisms strengthen investor confidence and market stability.

20. How can responsible investing reduce financial risks? [K] / [CO4]

Responsible investing considers environmental, social, and governance (ESG) factors along with financial performance. Companies following sustainable and ethical practices are generally exposed to lower legal, reputational, and operational risks. ESG-based investments help investors avoid businesses involved in environmental damage or governance failures. Responsible investing also supports long-term financial stability and sustainable growth. Thus, it reduces potential financial losses and investment risks.

21. How do RBI, NSE, and BSE together support the Indian economy? [U] / [CO1]

Reserve Bank of India regulates the monetary and banking system to maintain economic stability. National Stock Exchange of India and Bombay Stock Exchange provide organized platforms for trading securities and mobilizing capital. Together, these institutions promote investment, liquidity, and efficient allocation of financial resources. They ensure transparency, investor protection, and smooth functioning of financial markets. Their combined role contributes significantly to economic growth and financial development in India.

22. How does CARE contribute to transparency in financial markets? [K] / [CO2]

CARE Ratings contributes to transparency by providing independent credit ratings for companies and financial instruments. These ratings help investors assess the creditworthiness and risk level of investments. CARE improves the availability of reliable financial information in the market. Its ratings assist lenders, investors, and regulators in making informed decisions. Thus, CARE enhances trust, transparency, and efficiency in financial markets.